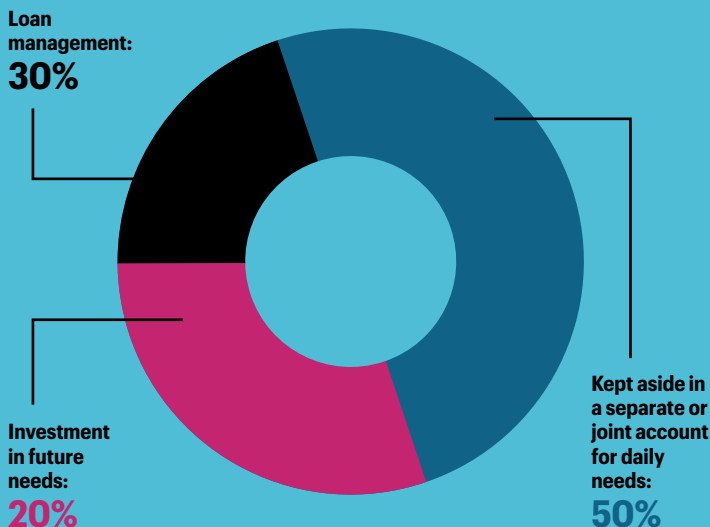


## RIGHT BUDGETING

● In a good budgeting system, 50% of income is kept aside in a separate or joint account for everyday needs

● 30% of the savings should go towards loan management and 20% should be invested for future needs



to reduce the debt burden on the family finances.” She believes having a clear plan for managing debt is essential to prevent putting both partners’ finances at risk. The avalanche method focusses on repayment of loans with the highest interest rate first. The snowball method, however, prioritises balances by paying off the smallest debt first and then gradually moving upwards.

Thus, setting up a fund dedicated to debt elimination—a joint savings account aimed at paying off debts when unexpected windfalls like bonuses or tax returns arrive—can speed up debt repayment and improve a feeling of financial success.

This way, building a budget that includes both incomes and prioritises debt repayment can help a couple live within their means while making consistent progress. Tikku says, “One should remain cautious about taking on additional debt.”

Budgeting is the key to achieving financial goals. “A good budgeting wherein 40-50% of earnings is kept aside in a separate or joint account selected as per their preference. 30% of the savings should go towards loan management and 20% should be invested for future needs,” says Mota.

Tikku also highlights the importance of defining

clear financial roles within the household to avoid conflicts. “Consider dividing tasks based on individual strengths, such as one partner managing daily expenses while the other handles long-term investments,” she adds.

Another method of achieving long-term financial stability is having a clear financial plan. Renuka dreamt of buying a house after seven years. Ankit longed for a backpacking trip to Europe within two years. They charted their financial goals and realised they could achieve both.

Proper financial communication is an ongoing process. Experts suggest scheduling regular check-ins, say, once every six months, to review budget, progress, and adjust as needed.

## ROAD TO FINANCIAL BLISS

Financial independence is the ultimate form of freedom. Women should carefully consider whether to disclose their existing assets and investments or if they should continue building these assets independently. Until they

feel fully secure, it’s advisable to keep their assets in their own name, with their parents as nominees or joint holders. This ensures they maintain full ownership in accordance with legal provisions after marriage.

Experts suggest women should maintain their own investment accounts in addition to any joint accounts. “Married women should consider creating a financial ‘freedom file’ that includes detailed records of all assets, investments, insurance policies, and liabilities,” says Billimoria.

If women choose to work after marriage, they should, on top of contributing to their new family expenses, build a savings pool and should invest in stocks, mutual funds, fixed deposits or long-term bonds. Besides, they should also have sufficient life and health insurance that can protect them and their families in the event of illness, disability, or death.

Ultimately, one should understand that marriage is a partnership, and finances are no exception. By having open communication, setting realistic goals, and creating a flexible budget, one can lead a happy and healthy financial life. **BT**

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